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VANGUARD

2023 Third Quarter Results

Investor Conference

November 7, 2023

Agenda

- Welcome
- 3Q23 Consolidated Financial Results
- Remark
- Q & A

Disclaimer

This presentation material contains certain forward-looking statements that are based on current expectations and are subject to known and unknown risks and uncertainties that could cause actual results to differ materially from those expressed or implied by such statements.

3Q23 Result Highlights

Amount : NT$ Million	3Q23	2Q23	3Q22
	Amount	Amount	Amount
Net Revenue	10,557	9,854	13,328
Net Income	1,623	1,995	3,823
EPS (NT$)	0.98	1.21	2.28
Cash and Financial Instruments	33,986	33,058	34,444
Equity	43,989	41,367	42,772
Total Wafers Shipped (Kpcs)	538	511	634

Statements of Comprehensive Income

Amount: NT$Million *Selected Items from Statements of Comprehensive Income*	3Q23		2Q23		3Q22		QoQ	YoY
	Amount	%	Amount	%	Amount	%	%	%
Net Revenue	10,557	100.0	9,854	100.0	13,328	100.0	7.1	(20.8)
Cost of Revenue	(7,757)	(73.5)	(6,895)	(70.0)	(7,330)	(55.0)	12.5	5.8
Gross Profit	2,800	26.5	2,959	30.0	5,998	45.0	(5.4)	(53.3)
Operating Expenses	(1,135)	(10.8)	(1,154)	(11.7)	(1,552)	(11.6)	(1.6)	(26.9)
Operating Income	1,665	15.8	1,806	18.3	4,445	33.4	(7.8)	(62.5)
Net Non-operating Income	376	3.6	402	4.1	319	2.4	(6.5)	18.1
Income before Income Tax	2,041	19.3	2,208	22.4	4,764	35.7	(7.6)	(57.2)
Net Income	1,623	15.4	1,995	20.2	3,823	28.7	(18.6)	(57.5)
Diluted EPS (NT$)	0.98		1.21		2.28		(19.0)	(57.0)

Balance Sheets & Key Indices

Amount : NT$ Million

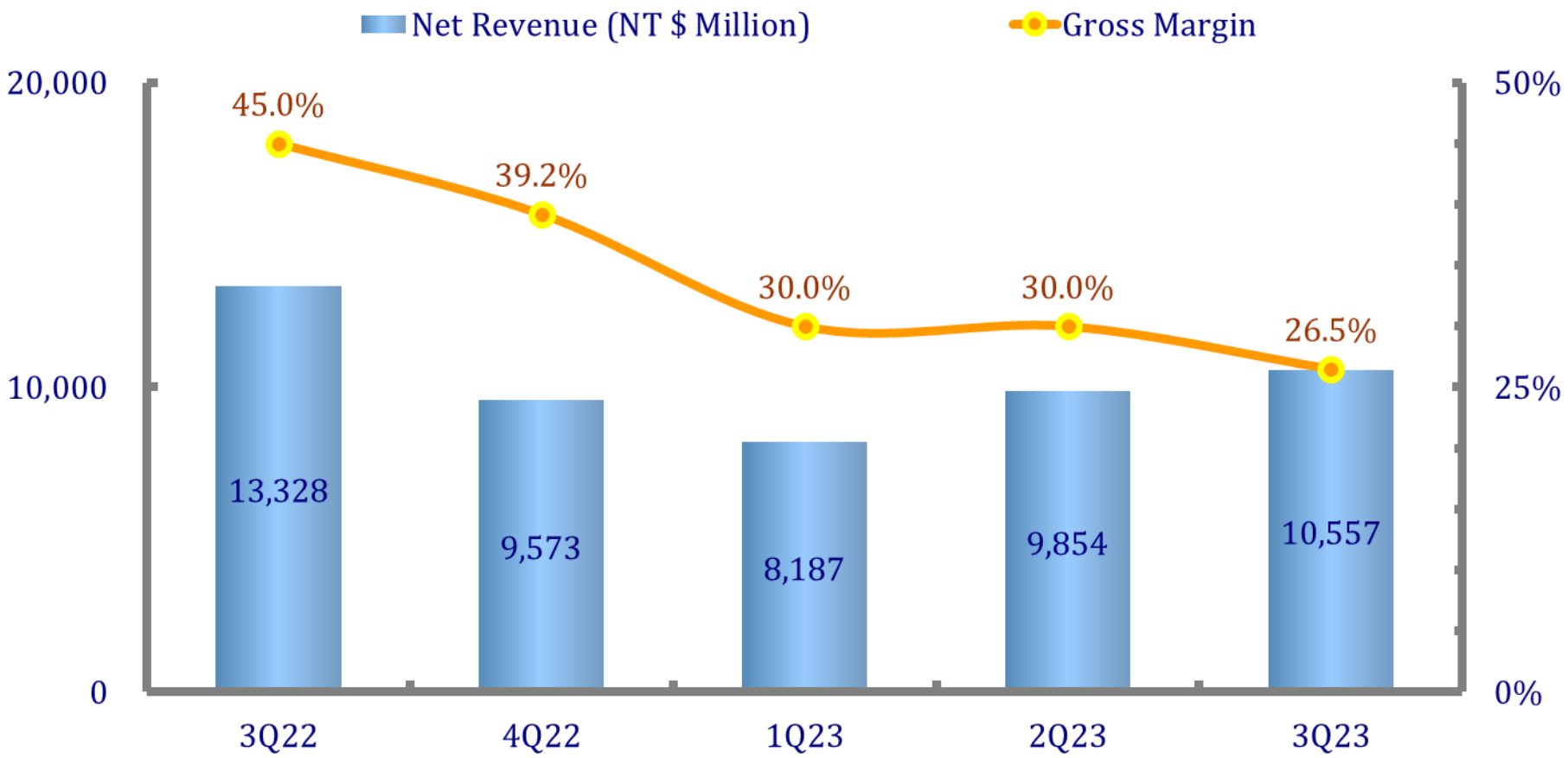
Selected Items from Balance Sheets	Sep. 30, 2023		Jun. 30, 2023		Sep. 30, 2022	
	Amount	%	Amount	%	Amount	%
Total Assets	**101,565**	**100.0**	**101,950**	**100.0**	**98,689**	**100.0**
Cash & Financial Instruments	33,986	33.5	33,058	32.4	34,444	34.9
Accounts Receivable	6,862	6.8	6,385	6.3	7,465	7.6
Inventories	6,394	6.3	6,354	6.2	4,844	4.9
Total Current Assets	**47,944**	**47.2**	**46,724**	**45.8**	**47,430**	**48.1**
Property, Plant and Equipment	**37,763**	**37.2**	**38,548**	**37.8**	**37,527**	**38.0**
Notes and Accounts Payable	1,099	1.1	1,201	1.2	1,607	1.6
Cash Dividends Payable	0	0.0	7,375	7.2	0	0.0
Accrued Liabilities and Others	18,599	18.3	19,357	19.0	18,070	18.3
Total Current Liabilities	**19,698**	**19.4**	**27,933**	**27.4**	**19,677**	**19.9**
Total Non-current Liabilities	**37,877**	**37.3**	**32,649**	**32.0**	**36,240**	**36.7**
Total Equity	**43,989**	**43.3**	**41,367**	**40.6**	**42,772**	**43.3**
Key Indices						
A/R Turnover Days	**57**		**57**		**55**	
Inventory Turnover Days	**82**		**88**		**55**	
Debt Ratio	**57%**		**59%**		**57%**	
Current Ratio	**243%**		**167%**		**241%**	
Net Working Capital	**28,246**		**18,791**		**27,753**	

Cash Flows

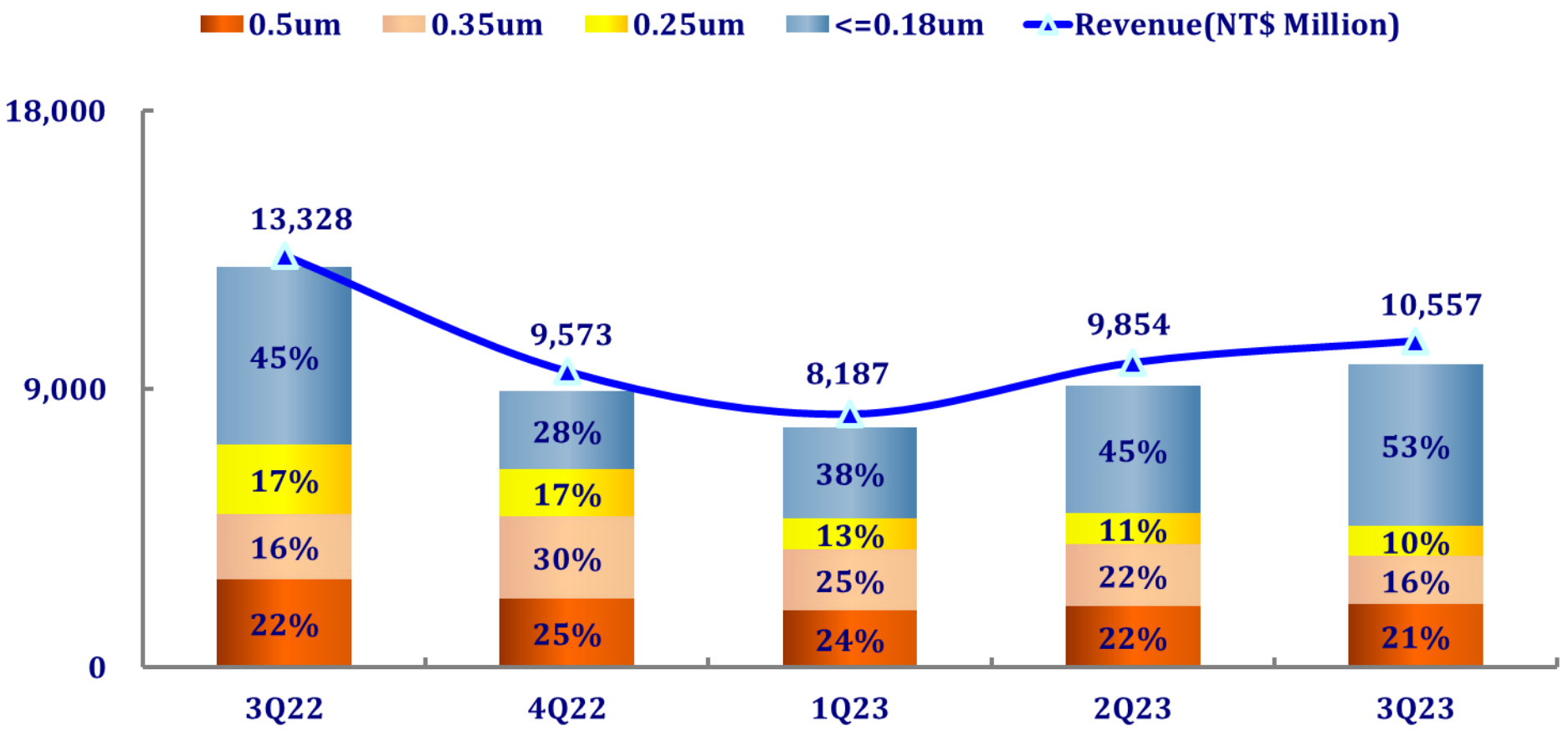
Amount : NT$ Million	3Q23	2Q23	3Q22
Selected Items from Cash Flows	**Amount**	**Amount**	**Amount**
Cash - Beginning of Period	***26,876***	***28,428***	***37,512***
– Income before Income Tax	2,041	2,208	4,764
– Depreciation & Amort.	2,055	1,894	1,491
– Changes of Notes and Accounts Receivable	(723)	(1,678)	2,759
– Changes of Inventories	(40)	(194)	(209)
– Prepayment from Customers	87	0	131
– Income Taxes Paid	(26)	(2,326)	(1,311)
– Changes of Notes and Accounts Payable/ Others	(1,849)	393	(271)
From Operation	**1,546**	**297**	**7,353**
– Decrease (Increase) in Financial Assets	230	(259)	(3,149)
– Acquisitions of PP&E and Intangible Assets	(1,452)	(1,621)	(4,473)
– Dividends Received	0	29	0
– Refundable Deposit and Others	24	0	(1)
From Investment	**(1,198)**	**(1,850)**	**(7,624)**
– Issuance of Bonds	6,000	0	0
– Increase (Decrease) in Guarantee Deposits Received from Customers	12	(21)	30
– Cash Dividends	(7,375)	0	(7,375)
– Decrease in Lease Liabilities	(52)	(54)	(58)
– Others	(41)	(7)	0
From Financing	**(1,457)**	**(81)**	**(7,403)**
Net Decrease in Cash	**(1,108)**	**(1,634)**	**(7,674)**
Effect of Exchange Rate Changes	169	83	289
Cash - End of Period	***25,937***	***26,876***	***30,128***

Remarks

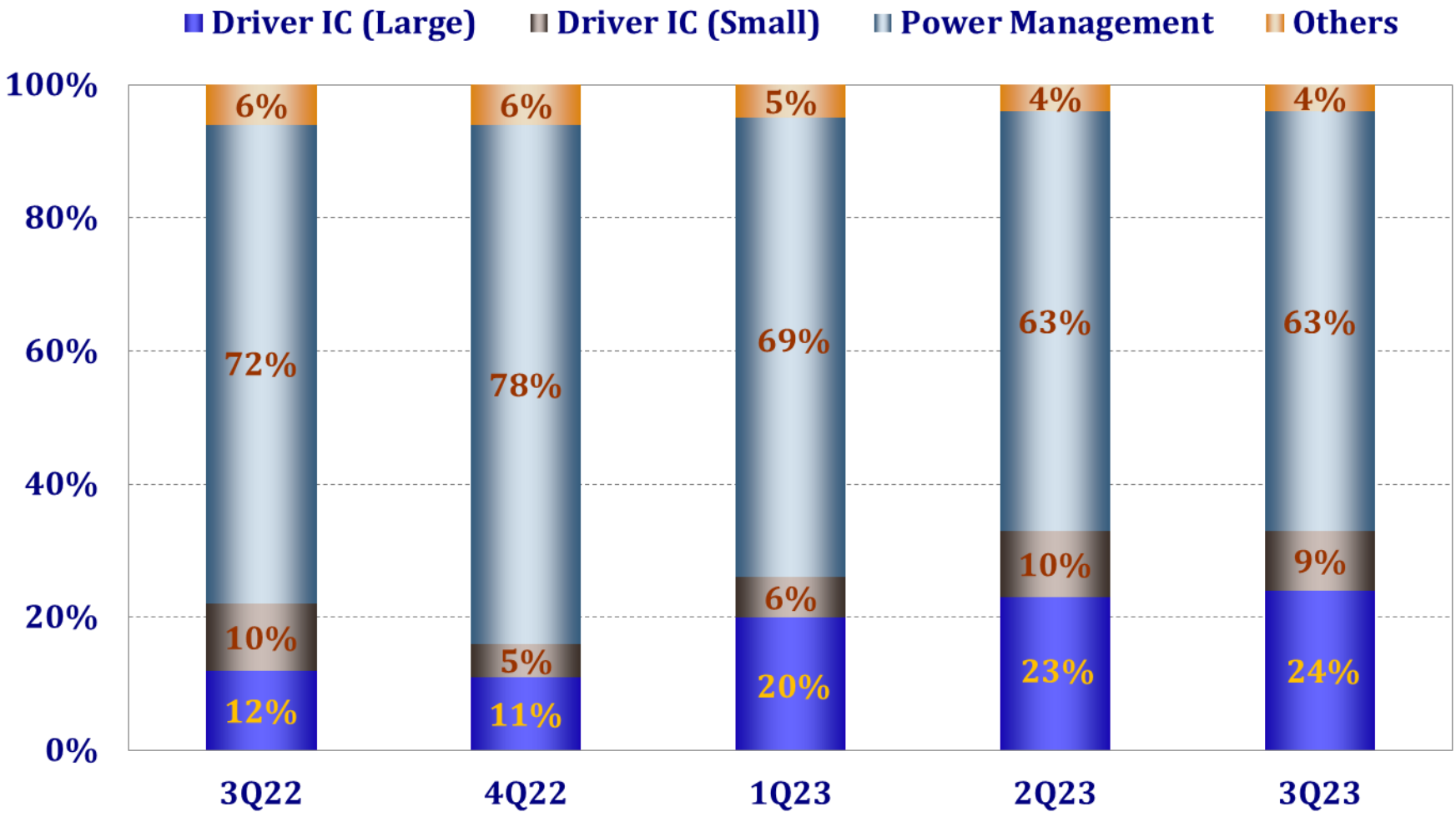
Net Revenue & Gross Margin



Revenue Breakdown by Technology



Revenue Breakdown by Platforms



3Q23 Result Summary & Guidance Comparison

3Q23	Result	Guidance
Wafer Shipment	+5%	to increase by 4% to 6% QoQ
Blended ASP	-1%	to be about flat QoQ
Gross Profit Margin	26.5%	to be between 25% and 27%

4Q23 Guidance

- Wafer shipment to decrease by 8% to 10% QoQ;
- Blended ASP to decrease by 0% to 2% QoQ;
- Gross profit margin to be between 22% and 24%.

Q & A

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